

KELANI TYRES PLC

(Reg: No. PQ 123)

INTERIM FINANCIAL STATEMENTS

FOR TWELVE MONTHS ENDED MARCH 31, 2021



Corporate Office

203, Union Place

Colombo 02.

KELANI TYRES PLC AND ITS GROUP
**CONSOLIDATED STATEMENT OF
COMPREHENSIVE INCOME**

(all amounts in Sri Lankan Rupees thousands)

	Group		Company		Group		Company	
	Apr. -Mar.		Apr. - Mar.		Jan. -Mar.		Jan. - Mar.	
	2021 (Un audited)	2020 (Audited)	2021 (Un audited)	2020 (Audited)	2021	2020	2021	2020
Revenue	60,334	280,778	59,438	278,413	208	45,726	-	45,477
Direct costs	(54,423)	(253,761)	(53,548)	(252,698)	(219)	(41,191)	-	(40,972)
Gross profit/(loss)	5,911	27,017	5,890	25,715	(11)	4,535	-	4,505
Other operating income	7,470	8,551	157,970	581,236	1,874	1,864	1,873	317,663
Net gain from fair value adjustment on Investment Property	48,277	39,824	48,277	39,824	48,277	39,824	48,277	39,824
Distribution costs	-	-	-	-	-	-	-	-
Administrative costs	(47,065)	(48,523)	(46,656)	(47,867)	(8,442)	(11,272)	(8,106)	(10,721)
Management Expenses	(41,586)	(40,112)	(41,586)	(40,112)	(9,537)	(8,268)	(9,537)	(8,268)
Depreciation	(8,277)	(8,698)	(8,277)	(8,698)	(2,075)	(2,179)	(2,075)	(2,179)
Operating profit/(loss)	(35,272)	(21,941)	115,617	550,098	30,085	24,504	30,431	340,825
Finance Income	34,326	7,048	34,326	7,048	5,613	2,300	5,613	2,300
Finance costs	(7,957)	(9,219)	(7,957)	(9,182)	(1,569)	(2,614)	(1,569)	(2,614)
Profit/(Loss) before tax	(8,902)	(24,112)	141,986	547,964	34,129	24,190	34,475	340,511
Tax	-	-	-	-	-	-	-	-
Profit/(Loss) after tax	(8,902)	(24,112)	141,986	547,964	34,129	24,190	34,475	340,511
Share of results of JV	974,098	466,900	-	-	234,005	68,484	-	-
Profit/(Loss) for the period	965,195	442,788	141,986	547,964	268,133	92,674	34,475	340,511
Other comprehensive income:	-	-	-	-	-	-	-	-
Items that will not be reclassified to profit or (loss)								
Acturial gain/(loss) on retirement -benefit obligation	254	(766)	254	(766)	254	(766)	254	(766)
Revaluation property plant & equipment	23,720	-	23,720	-	23,720	-	23,720	-
Revaluation property plant & equipment -Joint Venture	314,491	-	-	-	314,491	-	-	-
Acturial gain/(loss) on retirement -benefit obligation (Joint Venture)	(2,012)	(1,795)	-	-	(440)	(2,503)	-	-
Total comprehensive income - -for the period, net of tax	1,301,650	440,227	165,961	547,198	606,159	89,405	58,450	339,745
Earning per share (for the period)	12.00	5.51	1.77	6.82	3.33	1.15	0.43	4.24

KELANI TYRES PLC AND ITS GROUP

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

(all amounts in Sri Lankan Rupees thousands)

	Group		Company	
	31-03-2021 (un-audited)	31-03-2020 (Audited)	31-03-2021 (un-audited)	31-03-2020 (Audited)
ASSETS				
Non-current assets				
Property, plant and equipment	55,987	41,210	57,386	41,734
Investment Property	488,101	439,824	488,101	439,824
Investments in subsidiaries	-	-	10	10
Investment in JV	5,034,615	3,898,538	139,607	139,607
	5,578,703	4,379,572	685,103	621,175
Current assets				
Trade and other receivables	102,920	676,878	102,851	676,097
Income Tax Refund	603	400	-	-
Cash and cash equivalents	439,769	185,410	436,791	183,453
	543,292	862,688	539,642	859,550
Total assets	6,121,995	5,242,260	1,224,745	1,480,725
EQUITY AND LIABILITIES				
Equity attributable to equity holders				
Stated capital	402,000	402,000	402,000	402,000
Revaluation reserves	24,691	971	24,691	971
Other reserves	801,127	486,636	-	-
Retained earnings	4,762,114	4,200,675	666,098	925,858
Total equity	5,989,932	5,090,282	1,092,789	1,328,829
Non - current liabilities				
Borrowings	10,833	20,833	10,833	20,833
Retirement benefit obligations	6,961	6,730	6,961	6,730
	17,794	27,563	17,794	27,563
Current liabilities				
Trade and other payables	44,111	50,571	44,004	50,489
Borrowings	10,000	10,000	10,000	10,000
Bank Overdraft	60,158	63,844	60,158	63,844
	114,270	124,415	114,162	124,333
Total liabilities	132,064	151,978	131,956	151,896
Total equity and liabilities	6,121,995	5,242,260	1,224,745	1,480,725
Net Asset Value Per share	74.50	63.31	13.59	16.53

I certify that these financial statements have been prepared in compliance with requirements of the Companies Act, No. 07 of 2007.

Sgd

P. R. Mann

Finance Officer

The Board of Directors is responsible for the preparation and presentation of these Financial statements.

Sgd

Rohan T. Fernando

Managing Director

11th May 2021

Sgd

(Mrs). S. S Jayatilaka

Director

KELANI TYRES PL AND ITS GROUP

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

(all amounts in Sri Lanka Rupees Thousands)

Company

	Stated capital	Revaluation Reserve	Other Reserve	Retained Earnings	Total
Balance at 1 April 2019 (audited)	402,000	971	-	579,660	982,631
Profit for the Period	-	-	-	547,964	547,964
Other comprehensive income	-	-	-	(766)	(766)
Dividend paid	-	-	-	(201,000)	(201,000)
Balance at 31st Mar. 2020 (audited)	402,000	971	-	925,858	1,328,829
Balance at 1 April 2020 (audited)	402,000	971	-	925,858	1,328,829
Profit for the Period	-	-	-	141,986	141,986
Other comprehensive income		23,720		254	23,975
Dividend paid	-	-	-	(402,000)	(402,000)
Balance at 31st Mar. 2021 (un-audited)	402,000	24,691	-	666,098	1,092,789

KELANI TYRES PL AND ITS GROUP

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

(all amounts in Sri Lanka Rupees Thousands)

Group

	Stated capital	Revaluation Reserve	Other Reserve	Retained Earnings	Total
Balance at 1 April 2019 (audited)	402,000	971	486,636	3,961,449	4,851,056
Profit for the Period	-	-	-	442,788	442,788
Other comprehensive income	-	-	-	(2,561)	(2,561)
Dividend paid	-	-	-	(201,000)	(201,000)
Balance at 31st Mar. 2020 (audited)	402,000	971	486,636	4,200,675	5,090,282
Balance at 1 April 2020 (audited)	402,000	971	486,636	4,200,675	5,090,282
Profit for the Period	-	-		965,195	965,195
Other comprehensive income	-	23,720	314,491	(1,757)	336,454
Dividend paid	-	-	-	(402,000)	(402,000)
Balance at 31st Mar. 2021 (un-audited)	402,000	24,691	801,127	4,762,114	5,989,932

KELANI TYRES PLC AND ITS GROUP

Cash flow statement

(all amounts in Sri Lankan Rupees thousands)

	Twelve months ended 31st Mar. 2021		Twelve months ended 31st Mar. 2020	
	Group	Company	Group	Company
Cash flows from operating activities				
Cash generated from (used in) operations	493,385	492,363	68,068	67,040
Interest received	34,326	34,326	7,048	7,048
Interest paid	(7,957)	(7,957)	(9,219)	(9,182)
Net cash generated from (used in) operating activities	519,754	518,733	65,897	64,906
Cash flows from investing activities				
Purchases of property, plant and equipment	(210)	(210)	(343)	(343)
Dividend received	150,500	150,500	258,000	258,000
Proceeds from sale of property, plant and equipment	-	-	1,177	-
Net cash (used in)/generated from investing activities	150,291	150,291	258,834	257,657
Cash flows from financing activities				
Dividend payment	(402,000)	(402,000)	(201,000)	(201,000)
Change in Bank borrowings	(10,000)	(10,000)	29,890	30,833
Net cash (used in)/generated from financing activities	(412,000)	(412,000)	(171,111)	(170,167)
Net (decrease)/increase in cash and cash equivalents	258,045	257,023	153,620	152,396
Movement in cash and cash equivalents				
At the start of period	121,566	119,609	(32,055)	(32,787)
(Decrease)/increase	258,045	257,023	153,620	152,396
At the end of period	379,611	376,633	121,566	119,609

KELANI TYRES PLC AND ITS GROUP

NOTES TO THE INTERIM FINANCIAL STATEMENTS:

(all amounts are in Sri Lanka Rupees thousands)

1 General Information

Company

The company is a limited liability company incorporated and domiciled in Sri Lanka and listed on the Colombo Stock Exchange. The address of its registered office is P.O.Box 8, Nungamugoda, Kelaniya.

Group

Joint Venture (JV):

The JV's principal activity is the manufacture of tyres and tubs locally and its sale thereof locally and internationally.

Subsidiary company:

The principal business activity is to hire out motor vehicles.

2 Basis of preparation

The Interim Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard (LKAS-34) Interim Financial reporting. These interim financial statements should be read in conjunction with the annual financial statement for the year ended 31 Mar. 2020,

3 Significant Accounting Policies

The Company has adopted consistent accounting policies and method applied for the year ended 31st March 2020 and the presentation and classification of the financial statements of the previous year have been amended where relevant for better presentation and to be comparable with those of the current year.

4 Stated Capital

Stated Capital represented by issued shares is given below:

	3/31/21	3/31/20	3/31/19
Ordinary shares as at	80,400	80,400	80,400

5 There have been no other events subsequent to the Balance Sheet date, which require disclosure in the Interim Financial Statements.

6 Provision was made for taxation by joint venture CEAT SRI LANKA as follows:

	Rs.
Profit before Tax JV	2,210,966,039
Less: Provision for Tax	(262,770,467)
Profit after Tax	<u>1,948,195,572</u>

7 There were no Contingent Liabilities or Contingent Assets since the Balance Sheet date.

8 There were no Liability towards Management fee or any similar expenditure not provided for in the Interim Financial Statements.

9 Dividend per share

	Group		Company	
	3/31/21	3/31/20	3/31/21	3/31/20
Dividend received from the JV	150,500	573,800	150,500	573,800
Dividend declared & paid to shareholders	402,000	201,000	402,000	201,000
Number of shares in issue (thousands)	80,400	80,400	80,400	80,400
Dividend per share - (Rs.)	5.00	2.50	5.00	2.50

10 The figures have been presented in these financial statements are provisional and subject to audit, and also comparative figures have been reclassified where necessary.

11 Market price per share:

for the Twelve months ended 31st Mar.

	<u>2021</u>	<u>2020</u>
	Rs.	Rs.
Highest Price (22/01/21 & 02/01/20)	112.00	48.50
Lowest Price (19/03/21 & 13/03/20)	70.00	32.00
Last Traded Price	78.00	33.10

KELANI TYRES PLC
TOP 20 SHARE HOLDERS LIST
AS AT 31-03-2021

No.	Name	No of Shares	%
1	SILVERSTOCK LIMITED	36,975,523	45.989
2	BANCK OF CEYLON A/C CEYBANK UNIT TRUST	6,473,917	8.052
3	MR. H. M. UDESHI	4,182,857	5.203
4	MR. R. C. D. DE SILVA	1,801,104	2.240
5	EMPLOYEES PROVIDENT FUND	1,553,800	1.933
6	BANK OF CEYLON ACCOUNT CEYBANK - CENTURY GROWTH FUND	1,307,516	1.626
7	HATTON NATIONAL BANK PLC / MR. G. S. N. PERIS	1,005,681	1.251
8	EMPLOYEES TRUST FUND BOARD	895,823	1.114
9	MR. S. VASUDEVAN	700,000	0.871
10	MRS. V. SARASWATHI	700,000	0.871
11	MR. N. PUSPARAJ & MRS. K. PUSPARAJ	550,000	0.684
12	HATTON NATIONAL BANK PLC / S. VASUDEVAN	536,358	0.667
13	ARUNA ENTERPRISES (PVT) LTD	437,600	0.544
14	MR. S. R. S. DE SARAM	400,000	0.498
15	MR. A. TIRATHDAS	367,000	0.456
16	MR. B. POBRAN	350,240	0.436
17	SEYLAN BANK PLC / W. D. N. H. PERERA	315,000	0.392
18	RANSIRI ENTERPRISES (PRIVATE) LIMITED	310,000	0.386
19	MR. K. D. Y. PATHIRAJA	300,000	0.373
20	MRS N. MULJIE	290,694	0.362

PUBLIC HOLDING

The percentage of shares held by the public as at 31st March 2021 is 51.76% comprising of 9,346 shareholders
(31st March 2020 - 51.84% comprising of 8,146 shareholders)

FLOAT ADJUSTED MARKET CAPITALIZATION AS AT 31ST MARCH 2021 - RS. 3,246,003,774/-

The Company is in compliance with Option 4 of Section 7.13.1 (a) of the Listing Rule of the Colombo Stock Exchange pertaining to minimum public holding.

SHARE HOLDINGS BY THE DIRECTORS AS AT 31ST MARCH 2021

Names of Directors	No of Shares as at 31st Mar. 2021	%
Mr. Chanaka De Silva	1,801,104	2.240%
Mr. Rohan T. Fernando	Nil	
Mr. T. Bevan Perera	1920	0.002%
Mr. D. S. Kamantha Amarasekera	Nil	
Mrs. S. S. Jayatilaka	240	0.000%
Mr. Eradj T. Fernando	Nil	
Mr. R. P. Weerasooria	Nil	

KELANI TYRES PLC AND ITS GROUP*NOTES TO THE INTERIM FINANCIAL STATEMENTS (cont.):***Joint Venture Performance**

The assets and liabilities and the income and the expenses of the Joint venture as follows:

Summarised Financial Position

	31-03-2021	31-03-2020
Non-Current Assets	6,991,985	5,697,671
Current Assets	8,459,404	6,374,498
Total Assets	15,451,389	12,072,169
Capital and Reserves	10,069,230	7,797,075
Non-Current Liabilities	1,162,559	1,117,212
Current Liabilities	4,219,600	3,157,881
Total Equity & Liabilities	15,451,389	12,072,169

Summarised Income Statement

	2021 Apr. to Mar.	2020 Apr. to Mar.
Production (MT)	17,612	14,680
Total Sales (MT)	17,339	14,443
Domestic Sales	10,819,128	8,132,525
Export Sales	996,144	1,324,057
Total Sales	11,815,272	9,456,582
Cost of Sales	(8,280,762)	(7,078,022)
Gross Profit	3,534,510	2,378,560
Distribution/Administrative Cost	(1,444,010)	(1,315,926)
Finance Cost less income	93,766	109,482
Other Operating Income	26,700	40,962
Pofit BeforeTax	2,210,966	1,213,078
Taxation	(262,770)	(279,279)
Profit for the period	1,948,196	933,799
Other Comprehensive income/(Expenses)	624,959	(3,590)
Total Comprehensive income	2,573,155	930,209